The idea is simple:

- Your **Core** is the heart of your portfolio; the solid, dependable part. This is your Lazy 3 Portfolio, made up of broad, diversified index funds designed to grow steadily over time. Think of this as the strong, healthy trees in your forest. They might not be flashy or fast-growing, but they're built to last. This should make up the bulk of your investments (usually somewhere between 70 to 90 per cent) because it's the part that will do the heavy lifting to build your wealth quietly in the background while you get on with life.
- Your **Satellite** is the smaller, more adventurous part of your portfolio; this is where you can plant a few wildflowers in your otherwise steady, growing forest. It might be a hot tip you heard from that guy at the BBQ, a sector you're curious about, or something speculative like crypto or a trendy ETF. It's your 'have a bit of fun' money. The key is to keep this to a small part of your portfolio (usually 10 to 30 per cent) so even if your wildflowers don't grow the way you hoped, your core forest remains strong, steady and on track for the long haul.

This approach lets you scratch the itch for something more exciting, without risking your core financial future. You can experiment, learn and have fun with your satellite investments while keeping the bulk of your portfolio stable and focused on long-term wealth building.

## *The magic of compounding*

Compounding is where the real magic of investing happens. It's often called the snowball effect, your investments earn returns, and then those returns start earning their own returns. Over time, the snowball gathers momentum, growing faster and larger the longer you leave it rolling.

Compound interest is money you make while you sleep. It's your money working for you, your dollars earning their own dollars, day in and day out, whether you're paying attention or not.

Over time, history shows us that investing and the magic of compounding create growth far beyond what you could achieve by simply saving in a bank account. And with inflation eating away at the value of our money, we need our money to work hard.